



Maura Healey, Governor
Kimberley Driscoll, Lieutenant Governor
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Honorable Brendan Crighton
Chair, Joint Committee on Transportation
State House, Room 109-C
24 Beacon Street
Boston, MA 02133

Honorable Michael J. Rodrigues
Chair, Senate Committee on Ways & Means
State House, Room 212
24 Beacon Street
Boston, MA 02133

Honorable James Arciero
Chair, Joint Committee on Transportation
State House, Room 134
24 Beacon Street
Boston, MA 02133

Honorable Aaron Michlewitz
Chair, House Committee on Ways & Means
State House, Room 243
24 Beacon Street
Boston, MA 02133

12 October 2025

Dear Chairs Crighton, Arciero, Rodrigues, and Michlewitz,

The Board of Directors of the Massachusetts Bay Transportation Authority (MBTA) in March 2024 approved a fare change expanding reduced fares to income-eligible riders on all modes and applying reduced fares to The RIDE paratransit service for Seniors and income-eligible riders. This expansion of reduced fares launched for MBTA riders in early-September 2024. This program is commonly referred to as “Income-Eligible Reduced Fares” or “IERF.” Initial development, design, and approval of the program was funded by a \$5,000,000 allocation in the FY 2024 Final Budget¹ and the launch of this program was funded by a \$20,000,000 allocation in the FY 2025 Final Budget.²

The MBTA is pleased to offer this early report on adoption and impact of the first months of the program. Data is provided as of March 31, 2025 (consistent with the language in Section 2F of Chapter 140 of the Acts of 2024) with some additional updates through August 2025.

Program Overview

The MBTA’s mission is to serve the public by providing safe, reliable, and accessible transportation. We are proud of the recent improvements in service quality and the more than 225 million trips the Authority provided in the last fiscal year, but we know that fares can sometimes be a barrier to accessibility for riders with limited incomes.

Historically, lower reduced fares had only been available for young riders, Seniors, riders with disabilities, and certain young adult riders with limited income. The MBTA did not historically provide broad-based reduced fares for all riders with limited income, on all modes. Nor did the MBTA offer any reduced fares on The RIDE paratransit service. This changed with the launch of the IERF

¹ Section 2F of Chapter 28 of the Acts of 2023, 1596-2405.

² Section 2F of Chapter 140 of the Acts of 2024, 1596-2405.



program in 2024 and the corresponding expansion of reduced fares to users of The RIDE. This program serves Massachusetts residents with incomes up to 200% of the Federal Poverty Level who are too young for Senior fares, providing them with credentials that unlock fares of at least 50% off full price across all modes, including bus, subway, Commuter Rail, ferry, and paratransit. In the early months of this program's launch, the benefits of this program are matching predicted expectations.

The IERF program enrollment and administration platform was built as a joint effort across multiple Commonwealth agency partners: the MBTA, the Registry of Motor Vehicles (RMV), the Massachusetts Department of Transportation (MassDOT), the Executive Office of Health and Human Services (EOHHS), and the Department of Transitional Assistance (DTA). Experience with previous means-tested programs – both within the MBTA and across various social service agencies – has shown that administrative burden can create barriers to program uptake and usage both on the part of the entities that run the programs and, more importantly, the individuals that apply to use those benefits. The MBTA and our partner agencies designed a platform to minimize and largely avoid many of these barriers by:

- Leveraging existing enrollment in other means-tested programs as proof of eligibility, rather than standing up an IERF-specific eligibility verification process. These qualifying programs include:
 - Emergency Aid to the Elderly, Disabled & Children (EAEDC)
 - MASSGrant
 - MassHealth CarePlus
 - MassHealth Family Assistance
 - MassHealth Limited
 - MassHealth Standard
 - Supplemental Nutrition Assistance Program (SNAP)
 - Transitional Assistance for Families and Dependent Children (TAFDC)
- Relying on our partners at RMV to verify applicant identity through their database of driver's licenses and other Massachusetts state IDs.
 - Note that Massachusetts state IDs and enrollment in select EOHHS programs are available to Massachusetts residents which was an important component to the system design.
- Prioritizing an online, automated, database-driven process over one that relies on in-person, manual application and processing to reduce administrative burdens and costs.
 - The MBTA established novel Application Programming Interfaces (APIs) that enable direct database connections across MBTA, RMV, and EOHHS platforms, allowing instant identity and eligibility verification across agencies with no manual intervention required.
- Still providing in-person application options and support to those for whom applying online is not the best option but relying on established existing non-profit organizations to fulfill this role rather than hiring significant internal staff and/or standing up new dedicated offices and locations.
 - The MBTA partnered with Action for Boston Community Development (ABCD) and the Massachusetts Association for Community Action (MASSCAP) network to integrate



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IERF support into their existing suite of services long provided in the community, through a competitive procurement process.

The end result of this novel program design is an online-first application and account management platform that **auto-approves approximately 70% of eligible applicants**, instantly, in a process that takes under five minutes to complete from anywhere. An additional approximately 25% of eligible applicants are not auto-approved but are still approved via online application after submitting photos of their relevant documents. Between these two methods, more than 90% of eligible applicants are approved online without ever having to leave their houses or show up to an office or appointment. The final 5 - 10% of approved applicants apply in-person at an ABCD or MASSCAP location located throughout the MBTA service area, or at the MBTA's Charlie Service Center in Downtown Boston.

The application process is fast, easy, and flexible, and has resulted in immediate positive impacts for MBTA riders. In a recent customer service survey, **95% of responding riders** said they were either satisfied or very satisfied with the application process.

Analysis of program enrollment data also demonstrates program usage and uptake benefits of the MBTA's novel application process. For example, prior to IERF, the MBTA administered a "Youth Pass" program that provided reduced fares to income-eligible young adults up to the age of 25. The Youth Pass program had largely the same eligibility requirements as IERF but was administered on a less convenient municipality-based basis. It served approximately 6,900 riders. When IERF launched in September 2024 the new program quickly enrolled 6,900 riders under the age of 25 in approximately the first month – *i.e.*, the population formerly enrolled in Youth Pass. However, additional income-eligible young adults beyond the initial 6,900 then continued to enroll in the program every month, **totaling more than 10,000 by Summer 2025**. These additional young adult enrollees did not gain access to reduced fares with IERF's passage – they were largely already qualified via Youth Pass – but they did enroll in IERF despite not previously enrolling in Youth Pass. This is a testament to the benefits of IERF's program design and implementation relative to prior means-tested programs.

The MBTA is proud of the novel program design which has been built with cross-Secretariate and community (?) support. This design has also been noticed by other major transit agencies and serves as a model for other means-tested fare programs across the country. MBTA staff regularly receive inquiries from other peer transit agencies, non-profit organizations, and industry researchers seeking to learn from the success of IERF, the cross-agency partnerships it is built upon, and the program's novel API-based digital platform.

In addition to our program design and implementation, the MBTA is also proud of the benefits to riders that IERF provides. Thanks to IERF and its corresponding expansion of reduced fares, income-eligible Massachusetts residents of any age now have access to reduced fares across all of the MBTA's services. This benefit is not limited to any specific mode, routes, municipality, or other factor. Reduced fare riders have access to, for example, Local Bus trips for \$0.85 as opposed to \$1.70, subway trips for \$1.10 as opposed to \$2.40, and **unlimited monthly bus and subway passes for \$30 as opposed to \$90**. Single-ride tickets and passes for reduced fare riders are similarly discounted by at least 50% on Commuter Rail and ferry, providing savings of up to \$198 per month for a Commuter



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Rail Zone 8 pass. An income-eligible rider who commutes **between Boston and a Gateway City such as Fitchburg, Worcester, Fall River, or New Bedford** would save **\$2,376 per year on their Commuter Rail Zone 8 pass** thanks to the IERF program, enough savings to profoundly impact one's financial situation and quality of life in a positive way.

The IERF program and its corresponding expansion of reduced fares also makes The RIDE more affordable by reducing fares for both Americans with Disabilities Act (ADA) and "Premium" trips for RIDE users who are income-eligible or Seniors. This is the first time that The RIDE has benefited from permanent reduced fares, making a service that serves many of the MBTA's most vulnerable riders even more accessible and increasing access to mobility for our disabled riders.

Academic research consistently shows that access to affordable transportation provides social benefits to those who use it. For example, a previous MIT study³ showed **that riders who received reduced fares took 30% more trips on the MBTA** and specifically took **more transit trips to health care and social service providers**. With the launch of the IERF program, the MBTA is proud to facilitate these social impacts and looks forward to continued expansion of the program to increase mobility for our lower-income riders.

Program Data as of Spring 2025 (first half-year of enrollment):

From program launch (September 4, 2024) through March 31, 2025:

- **21,736 riders** enrolled in the IERF program.
- New IERF fare media was used by riders to "tap" on MBTA bus and subway fare collection devices approximately **1.91 million** times.
- Approximately **76 thousand** trips on Commuter Rail and Ferry were paid for through the mTicket platform on accounts linked to IERF credentials.
- Approximately **600** IERF monthly physical passes and **1,800** IERF 7-Day physical passes were sold for Commuter Rail and ferry (in addition to the trips paid for on mTicket).
- Approximately **315 thousand** "ADA" and **30 thousand** "Premium" paratransit trips were provided on The RIDE at reduced fare prices.

Administrative expenses for the IERF program incurred between July 1, 2024 and May 31, 2025 include:

- Approximately \$698 thousand in staffing and infrastructure costs for the MBTA Technology Innovation Department to build and maintain the program application, approval, and customer management online platform.
- Approximately \$170 thousand in staffing costs for the MBTA Fare Revenue Department, including but not limited to the salary for a new Reduced Fares Specialist to manage various program elements.

³ Rosenblum, Jeffrey Laurence. *Expanding Access to the City: How Public Transit Fare Policy Shapes Travel Decision Making and Behavior of Low-Income Riders*. PhD diss., Massachusetts Institute of Technology, 2020. See, <http://equitytransit.mit.edu/>.



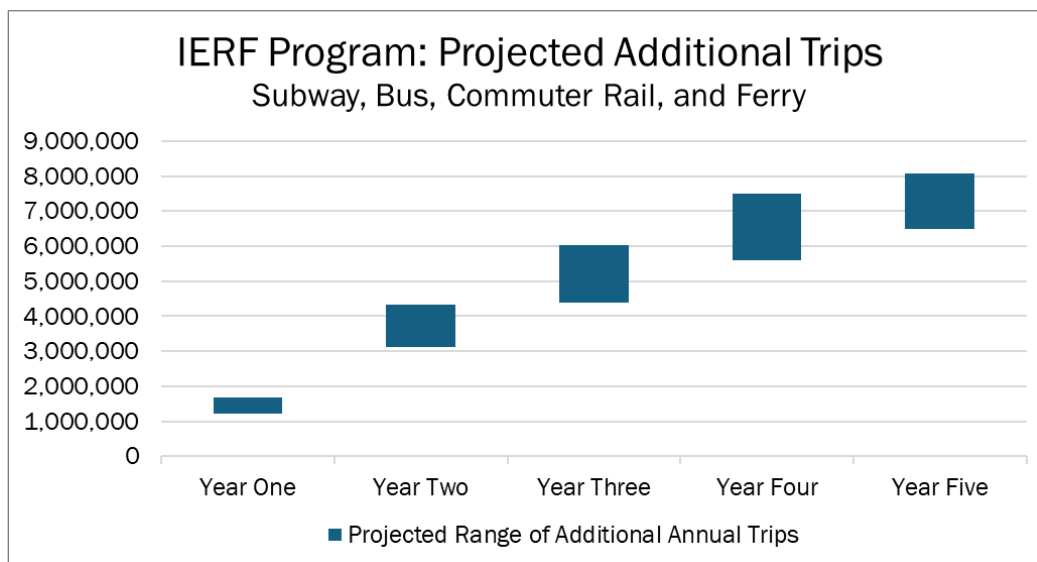
- Approximately \$419 thousand paid to third-party community partners (ABCD and the MASSCAP network) to provide in-person application support and community outreach.
- Approximately \$39 thousand for program publicity, marketing, and advertising.
- Approximately \$55 thousand for farecard fulfillment and distribution.

From July 1, 2024 through May 31, 2025, the MBTA incurred total administrative expenses of **approximately \$1.38 million** and total fare revenue loss of **approximately \$4.1 million** as a result of the 2024 expansion of reduced fares. Costs of providing service for induced demand on The RIDE are not yet quantified, as discussed further below.

Expected IERF Program Impacts: Short-Term Versus Long-Term

It is important to put the early progress of the IERF program in context with the program's expected impact over a multi-year period. Prior to the launch of the IERF program, MBTA staff generated projected "uptake curves" of program enrollment and forecasts of program usage and impact. All of these forward-looking estimates assumed that it would take approximately **five years of ramp up** before the IERF program reached its "steady state" levels of enrollment, usage, and (inflation-adjusted) costs. These estimates were based on ramp up experienced by other new means-tested programs both in Massachusetts and across the country, from both transit and non-transit contexts. In short, while a program like list can be launched in one year, it may take many years to educate the population, encourage their engagement, and ultimately have people apply for and use the benefit to which they have become entitled.

This expected ramp up can be seen in the chart below, which shows trips across all modes projected to be "induced" by the lower fares provided by IERF on an annual basis; meaning the additional trips that riders will take as a result of their new access to a reduced fare via this new program.



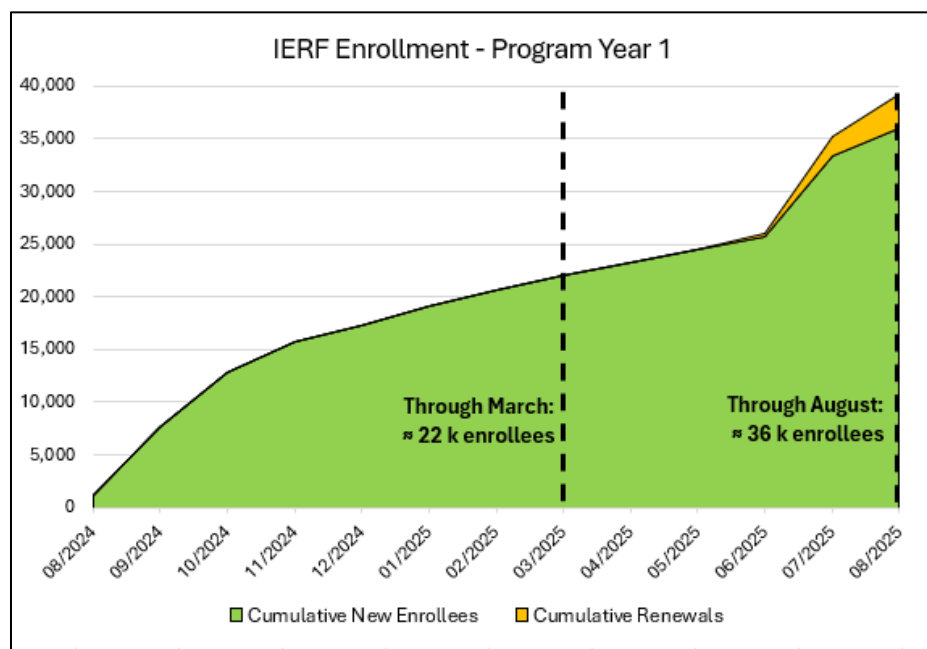


As seen above, MBTA staff projected that between 1.2 and 1.7 million additional trips would be made by IERF enrollees in the first year of the program. While significant, this is only a small fraction of the approximately 6.5 to 8.1 million additional trips that are projected to be made in the fifth year of the program.

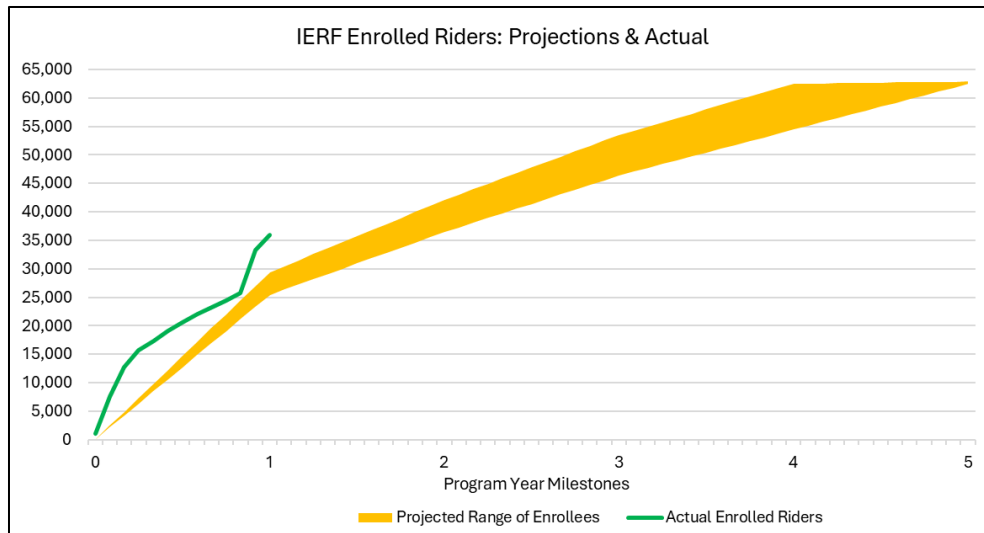
A similar ramp up is expected on a monthly basis to that seen on an annual basis; total trip-making in the first months of the program would be expected to be significantly exceeded by trip-making in the later months of the first year. Accordingly, the total “year one” costs of the IERF program are expected to be materially greater than the costs quantified for the program’s first half year.

Continued Program Developments Since Spring 2025

Consistent with the “uptake curves” described above, IERF program enrollment has continued apace since Spring 2025. The chart below shows total program enrollment by month through August 2025, progressing beyond the enrollment numbers previously stated through March 2025. The below chart also shows program “renewals” beginning towards the end of the period shown, as earlier enrollees have begun to reenroll for an additional year of benefits.



This observed enrollment progress can be plotted against the projected enrollment “uptake curve” created prior to program launch, as shown below.



While approximately 22 thousand riders enrolled in the IERF program as of the end of March, total enrollment through the first IERF program year (as of the end of August 2025) was approximately **36 thousand riders**. This exceeds the “year one” projections of approximately 25 to 29 thousand riders that the MBTA has anticipated previously.⁴ MBTA staff believes that the novel and innovative online application platform; cross-agency collaboration with EOHHS, DTA, and RMV; and partnership with ABCD have been instrumental in the ongoing success of the IERF program, leading to enrollment numbers above even the “high” forecast bound.

For example, in July 2025, DTA launched a text campaign on behalf of the MBTA to directly contact people whom DTA serves that, by enrollment in specific DTA programs, would automatically qualify for IERF. DTA sent out approximately one quarter of a million text messages as part of this campaign, **directly leading to an uptick in IERF enrollment of approximately 7 thousand people in the weeks during this outreach**. This increase in enrollment in July (and to some extent, August) can clearly be seen in the enrollment charts above. This level of cross-agency partnership and collaboration – leading to direct positive outcomes for the people we serve – is novel not just within Massachusetts but nationally. The MBTA is aware of no other means-tested fare transit program anywhere in the country that benefits from such close and beneficial cross-agency partnerships.

Other efforts that the MBTA and partner organizations have undertaken throughout Summer 2025 to increase enrollment in and usage of the IERF program include, but are not limited to:

- Messaging on 251 MassDOT billboards across the Commonwealth
- Additional MBTA bus shelter and in-station signage
- Posts on MBTA social media, press releases, and “earned” media coverage

⁴ Total IERF program enrollment includes the population formerly eligible for the Youth Pass program, which was sunsetted with the launch of IERF. Youth Pass previously served approximately 6,900 enrollees. If these 6,900 riders who previously had access to reduced fares via Youth Pass are excluded from IERF enrollment totals, actual “new to reduced fares” enrollment is still at the upper bound of the projected range.



- Messaging of the importance and availability of reduced fares in the context of the launch of Fare Checks on MBTA vehicles and in stations
- ABCD monthly social media posts from individual site accounts
- ABCD in-person outreach with custom banners and displays at public events
- Daily ABCD outreach through established programming to 4,000 clients quarterly
- Quarterly ABCD emails to 500+ clients

The MBTA and our partner agencies plan to continue and accelerate our IERF outreach and publicity efforts over the months and years to come.

Program Impact on THE RIDE Paratransit Service

Reduced fares were first expanded to The RIDE in September 2024 and by Spring 2025 the majority of all RIDE trips were provided at reduced fare prices. As a result of the significant fare decrease within this mode and the unique cost structure of paratransit service, the cost of providing service for trips on The RIDE “induced” by lower fares is expected to be significant. However, these costs have not yet been calculated.

Here it is important to clarify how The RIDE’s operations differ from the MBTA’s other services. Transit service on the MBTA’s fixed route modes (bus, subway, Commuter Rail, and ferry) is relatively “scalable” and capable of absorbing some amount of increased demand without necessitating increased service. While increased ridership beyond a certain level will require more bus, train, or boat trips to be run, the quantity of induced trips forecast to be generated by IERF are not expected to necessitate a major expansion of service, especially in the near term. Each bus or train generally has the capacity to support **some** additional riders, until a tipping point of too many new riders is hit, and we need to add another bus or train to the schedule.

The cost structure for providing service on The RIDE, however, is different. The personalized and largely one-to-one nature of paratransit service – door-to-door trips in smaller vehicles (cars or vans) dispatched to serve passengers at specific times – makes total costs of providing service on this mode highly variable and tightly tied to ridership or calls for a trip. This also results in higher costs on a per-passenger basis, with **each additional trip costing upwards of \$70 to provide.**

The MBTA also has legal obligations under the ADA to ensure adequate and timely paratransit service to a degree which does not apply to the MBTA’s fixed route modes. If a bus rider cannot board a vehicle due to crowding and is left behind at the curb, that is an unfortunate and unacceptable failure of service. However, if a paratransit customer is not served by The RIDE and gets left behind at the curb, that is a severe violation of federal civil rights law.

Accordingly, MBTA staff projected the annual cost of serving the induced demand generated by reduced fares on The RIDE to be significant, **ranging from approximately \$16 to \$21 million per year.** In fact, paratransit operational costs are predicted to be the largest category of the total “costs” of this program in the early period following launch. Paratransit operational costs are expected to then



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stabilize and plateau in the ensuing years, leading them to account for a lower percentage of overall program costs.⁵

MBTA staff are currently analyzing RIDE cost and passenger demand data to calculate actual induced-demand service costs incurred to date, but this analysis is still ongoing and results are not yet available. The fluctuating costs of providing RIDE service are impacted by many other factors in addition to the fares charged to riders. Notably, the MBTA has been undertaking a series of initiatives to improve service for our paratransit customers concurrently with the launch of the IERF program. It is proving challenging to appropriately isolate the direct impact of the expansion of reduced fares – versus some of these others service improvements – on service costs on this mode to date. The MBTA recently on-boarded a new analyst, adding capacity to research and resolve these complex funding allocation questions. This is an area of great interest to the MBTA, and future research into this topic is a high priority for MBTA analysts and policymakers. In future budget updates, the MBTA anticipates having a viable methodology to determine a proper cost-allocation of increasing paratransit costs as part of the broader IERF program.

On behalf of the MBTA, I want to thank you for the legislature's continued commitment to advancing equity throughout the Commonwealth's public transportation system. The MBTA remains dedicated to building a safe, reliable, and accessible transportation network that works for all of our riders.

Respectfully submitted,

Lynsey M. Heffernan
Chief of Policy and Strategic Planning

CC: Secretary Monica Tibbits-Nutt
General Manager Phillip Eng

⁵ See, e.g., *MBTA Income -Eligible Reduced Fares Program Update*, Board presentation, July 2025, slide 19.
<https://cdn.mbta.com/sites/default/files/2025-07/9.%20IERF%20Board%20Deck%20%20July%202025.pdf>.